

**BEFORE THE
FEDERAL MARITIME COMMISSION**

Docket No. 24-14

AIRBOSS DEFENSE GROUP, LLC,

COMPLAINANT,

v.

FEDEX TRADE NETWORKS TRANSPORT & BROKERAGE, INC.,
MEDITERRANEAN SHIPPING COMPANY S.A. and MEDITERRANEAN
SHIPPING COMPANY (USA) INC., as agent for Mediterranean Shipping Company
S.A., and TOTAL TERMINALS INTERNATIONAL,

RESPONDENTS.

**AIRBOSS DEFENSE GROUP, LLC’S RESPONSE IN OPPOSITION TO
MEDITERRANEAN SHIPPING COMPANY S.A. and
MEDITERRANEAN SHIPPING COMPANY (USA) INC.’S
MOTION TO DISMISS OR STAY PROCEEDING**

I.

LEGAL STANDARD FOR MOTION TO DISMISS

The Commission’s Rules of Practice and Procedure (“Rules”) do not provide for motions to dismiss. But Rule 12 of the Commission’s Rules states that the Federal Rules of Civil Procedure (“Federal Rules”) will be followed in instances that are not covered by the Commission’s Rules, to the extent that the application of the Federal Rules is consistent with sound administrative practice. 46 C.F.R. § 502.12. The “Commission looks to Federal Rule of Civil Procedure 12(b)(1) when considering dismissals based on lack of subject matter jurisdiction, and to Rule 12(b)(6) when

considering dismissals based on failure to state a claim.” *MAVL Capital Inc. v. Marine Transport Logistics, Inc.*, Docket No. 16-16, 2 F.M.C.2d 198, 202 at 8 (FMC Oct. 29, 2020).

“When, as here, jurisdictional facts are intertwined with facts central to the merits of a claim, the Rule 12(b)(6) standard applies.” *MAVL Capital*, 2 F.M.C.2d at 203 (citing *Kerns v. United States*, 585 F.3d 187, 192–93 (4th Cir. 2009)). “Under Fed. R. Civ. P. 12 (b)(6), the facts alleged are taken as true, and all reasonable inferences are drawn in the complainant’s favor.” *Id.* (citing *Maher Terminals, LLC v. The Port Authority of New York and New Jersey*, Docket No. 12-02, 34 S.R.R. 35, 54 (FMC Dec. 18, 2015)).

To survive motions to dismiss for failure to state a claim under Rule 12(b)(6), a complaint must contain sufficient factual matter, accepted as true, to “state a claim to relief that is plausible on its face.” *Bell Atlantic Corp. v. Twombly*, 550 U.S. 544, 570 (2007). A claim “has facial plausibility when the plaintiff pleads factual content that allows the court to draw the reasonable inference that the defendant is liable for the misconduct alleged.” *Ashcroft v. Iqbal*, 556 U.S. 662, 663 (2009); *Mitsui O.S.K. Lines Ltd. v. Global Link Logistics, Inc.*, Docket No. 09-01, 32 S.R.R. 126, 136 (FMC Aug. 1, 2011). “Fact finders are to construe claims liberally, accept as true all well-pleaded facts, and draw all reasonable inferences in the complainant’s favor.” *Iqbal*, 556 U.S. at 662; *Twombly*, 550 U.S. at 555. “When there are well-pleaded factual allegations, a court should assume their veracity and then determine whether they plausibly give rise to an entitlement to relief.” *Iqbal*, 556 U.S. at 679. The focus at

this stage is not with whether a complainant can prevail on its claim, but whether it has adequately pled the claim. *Negron v. USAA Casualty Ins. Co.*, No. 13-01020, 2014 WL 4411676 at *2 (M.D. Tenn. 2014).

II.

ARGUMENT

A. THE COMPLAINT PROPERLY ALLEGES CLAIMS UNDER THE SHIPPING ACT

1. ADG's Complaint Alleges a Contract with MSC and Payment of \$5.75 Million Under That Contract

The motion to dismiss of Respondent Mediterranean Shipping Company S.A. and Mediterranean Shipping Company (USA) Inc. as agent for Mediterranean Shipping Company S.A. (collectively, "MSC") argues that complainant AirBoss Defense Group, LLC ("ADG") lacks standing to proceed with its complaint under the Direct Purchaser Rule. But that argument fails because ADG directly contracted with MSC and paid \$5.75 million to MSC for charges, including demurrage, detention, chassis charges, and per diem charges, i.e., the kinds of charges at issue in ADG's complaint. Compl. at 7, ¶ 27.

Under the Direct Purchaser Rule, only parties that have purchased services directly from a carrier or terminal operator have standing to pursue claims under the Shipping Act. *See In Re Vehicle Carrier Services*, Dockets 16-01, 1607, 16-10 and 16-11 (FMC Oct. 21, 2019). The premise of that rule is that the subsequent parties that

did not directly pay the service provider for services lack privity of contract. *In Re Vehicle Carrier Services* at 11. “In numerous decisions, the Commission has ruled that only the party who actually paid the carrier (or the valid assignee of the payor) can sue for reparations.” *Id.* Here, in contrast to the complainants in *In Re Vehicle Carrier Services*, ADG has suffered actual injury and directly paid MSC, not FTN. Therefore, ADG has standing to file a complaint against MSC.

ADG was not a volunteer. Under U.S. Customs and Border Protection (“CBP”) regulations, ADG was under legal compulsion to export or destroy the subject cargo of nitrile rubber gloves (the “Gloves”) in the 202 WRO containers. 19 C.F.R. § 12.44(a):

Export and abandonment. Merchandise detained pursuant to § 12.42(e) may be exported at any time prior to seizure pursuant to paragraph (b) of this section, or before it is deemed to have been abandoned as provided in this section, whichever occurs first. Provided no finding has been issued by the Commissioner of CBP under § 12.42(f) and the merchandise has not been exported within 3 months after the date of importation, the port director will ascertain whether the proof specified in § 12.43 has been submitted within the time prescribed in that section. If the proof has not been timely submitted, or if the Commissioner of CBP advises the port director that the proof furnished does not establish the admissibility of the merchandise, the port director will promptly advise the importer in writing that the merchandise is excluded from entry. Upon the expiration of 60 days after the delivery or mailing of such advice by the port director, the merchandise will be deemed to have been

abandoned and will be destroyed, unless it has been exported or a protest has been filed as provided for in section 514, Tariff Act of 1930.

By June 2022, CBP took no action as to the admissibility of the Gloves, which compelled ADG to attempt to export the 202 WRO containers. *See* ADG's Compl. at 5, ¶ 19 and 6, ¶ 23. Both FTN and MSC refused to work with ADG and arrange an export booking of the 202 WRO containers without payment of disputed charges. FTN would not negotiate *MSC's* pass-through demurrage, detention, per diem, and chassis charges. For that reason, ADG contracted with MSC to resolve those charges. *See* ADG's Compl. at 6, ¶¶ 24–25 and 7, ¶ 27.

a. 202 WRO Container Charges

ADG has alleged in its complaint that although MSC had originally agreed to provide transportation services under an agreement with FTN, FTN introduced ADG to MSC so that ADG could directly negotiate with MSC to resolve MSC's transportation charges related to the WRO 202 containers. Compl. at 6–7, ¶¶ 23–27.) And ADG did so in good faith.

ADG negotiated with MSC and entered into a settlement contract, a copy of which is attached as Appendix B to MSC's motion to dismiss. In that contract, ADG and MSC agreed to a settlement, the focal point of which was ADG's payment to MSC of its various transportation charges for detention, demurrage, chassis, and per diem (collectively, the "D&D") that had been accruing on the 202 WRO containers. Compl. at 7, ¶ 27. Further to that settlement agreement, ADG directly paid MSC the

settlement amount under that agreement, which settled MSC's D&D charges up to September 24, 2022. *Id.* Because ADG directly paid the settlement proceeds to MSC, those payments were not the type of "pass-through" payments that run afoul of the Direct Purchaser Rule. *See In Re Vehicle Carrier Services* at 11.

Despite MSC's having attached a copy of its contract with ADG to MSC's pending motion, MSC nevertheless argues that ADG "admits" that it "has no contract with MSC." MSC bases that argument on the fact that ADG's complaint refers to ADG's contract *with FTN*, implying that the two contracts were somehow mutually exclusive. But that is indisputably untrue.

MSC then argues that because it did not issue an invoice to ADG, ADG's payment of \$5.75 million under the parties' settlement agreement was a "voluntary payment." To the extent that an invoice is necessary to invoke standing under the Shipping Act, then the settlement contract, which contains due dates for ADG's settlement payments to MSC, functionally qualifies as an invoice.

Because ADG directly paid \$5.75 million to MSC for its charges related to the 202 WRO containers, ADG has standing to seek reparations under the Shipping Act. Accordingly, the Commission should deny MSC's motion.

b. ADG's Second Contract with MSC for Disposal-Related Charges and Disputed Invoices for Disposal-Related Charges Assessed After the Filing of the Complaint

MSC's motion to dismiss also incorrectly asserts that ADG lacks standing for the Disposal-Related Charges. The Disposal-Related Charges arose *after* the MSC/ADG settlement agreement, and they covered the costs that accrued on the 202 WRO containers while ADG was first attempting to export them, and when that became commercially impracticable, to dispose of their contents in the United States.

During that process, ADG's counsel negotiated with Marco Sidoti, MSC's Nationwide Demurrage/Detention/Per Diem Director, by email dated September 12, 2022, and agreed to rates should the containers remain in the United States after September 24, 2022. *See* the Declaration of Cameron Roberts ("Roberts Decl."), email from MSC dated September 12, 2022, attached as Exhibit "A." The agreement on D&D rates in the above email exchange was the *second* contract between ADG and MSC as to the WRO 202 Containers (the "Second Contract").

Ultimately, ADG could not export the 202 WRO containers, and the governing CBP regulation required the disposal of the Gloves. ADG's complaint alleges that the disposal of the Gloves took nine months, from October 2022 to July 2023. Compl. at 8, ¶ 31. *After filing the complaint*, ADG discovered in May 2024, upon receipt of an email from FTN, that MSC had charged D&D during the above nine-month period at rates *different* from the agreed-to rates in the Second Contract. *See* Roberts Decl., email from FTN attaching FTN's pass-through invoice and MSC's charges dated May 24, 2024, attached as Exhibit "B." ADG has disputed MSC's invoices. *See* Roberts Decl., email from ADG disputing FTN's pass-through invoice and MSC's charges dated June 19, 2024, attached as Exhibit "C." While the facts in the complaint are

sufficient, if the ALJ finds that ADG's complaint requires clarification, then the ALJ may direct ADG to state its case more fully and in more detail by way of amendment. *See* 46 CFR § 502.66(a). ADG is prepared to amend its complaint to address ADG's Second Contract with MSC concerning the Disposal-Related Charges and the disputed MSC invoices that FTN attached to an email to ADG on May 24, 2024, and disputed by ADG on June 19, 2024.

Thus, as ADG's complaint alleges and as MSC is aware, the Disposal-Related Charges include the charges that ADG and MSC directly negotiated and agreed to in the September 2022 email. MSC now seeks to evade its responsibilities under the Shipping Act by claiming that ADG lacks standing because MSC chose to route its invoices through FTN for charges that *FTN had no part in negotiating*. There is no Risk of Double Payment, Evidentiary Complexities, and ADG had a Direct Relationship with MSC

The Direct Purchaser Rule cases that MSC has cited deal with three concerns: (1) the risk of duplicative recovery by direct and indirect purchasers; (2) the evidentiary complexities and uncertainties regarding pass-through charges; and (3) the need for effective enforcement of federal maritime law by concentrating full recovery in the parties having the closest relationship with the wrongdoer. *Illinois Brick Co. v. Illinois et al*, 431 U.S. 720, 733–734 (1977); *In Re: Vehicle Carrier Services*, at 13.

The above concerns do not exist in this case because only ADG has paid the disputed charges, and there is no risk of duplication. Similarly, no evidentiary

complexities exist because the documents and records are in the possession of ADG, FTN, or MSC. FTN has paid no percentage of the charges and passed through all MSC charges, claiming to fall within the safe harbor. *See* 46 U.S.C. § 41104(e). Finally, effective maritime law enforcement will be accomplished because ADG is the injured party that paid \$5.75 million to MSC, and ADG will recover from the wrongdoer, MSC.

2. The Complaint's Section 41102(c) Claim Satisfies the Shipping Act's Pattern and Practice Element

MSC's motion to dismiss argues that the allegations in the complaint fail to rise to the level of a pattern or practice, as the Shipping Act requires. MSC is wrong.

MSC cites to *HangZhou Qianwang Dress Co. v. RDD Freight International, Inc.*, Docket No. 17-02, 2020 WL 5406762 (FMC Sept. 1, 2020) for the proposition that three shipments do not rise to the level of the pattern and practice required to support a claim under Section 41102(c) and, therefore, the 202 WRO containers having been “affected by a single Customs order prohibiting entry of the cargo” imported into the same port over the course of two months must also not qualify as a pattern or practice.

MSC oversimplifies the issues by focusing on the single order. MSC ignores that ADG's complaint alleges that MSC transported over 202 containers over a period of eight months. Compl. at 3-4, ¶ 12-13. MSC *knows* that it transported the containers on multiple voyages and under dozens of bills of lading. ADG's complaint plausibly alleges a practice because ADG's complaint alleges more than 202 containers were at

issue and that this was part of MSC's regular practices. *See Investigation of Certain Practices of Stockton Elevators*, Docket No. 1072, (FMC June 30, 1964) and *Way Interglobal Network, LLC v. Shenzhen Unifelix SCM Limited*, Docket No. 22-26 (Jan. 4, 2023) (20 containers were sufficient to support the finding of "practice").

Here, ADG's allegations as to the hundreds of containers carried under dozens of bills of lading covering multiple months, ships, communications, and categories of charges are sufficient to support a finding that MSC was engaged in a pattern or "practice," especially for the purposes of a motion to dismiss.

3. MSC's Failure to Issue Proper Invoices Subjects MSC to Liability Under Section 41104

MSC begins its arguments as to its potential liability for invoices under Section 41104 by repeating its false claim that ADG "admits it has no contract with MSC" and that ADG just "voluntarily" paid MSC. *See, e.g.*, Motion to Dismiss at 10. But again, MSC conveniently ignores its contract with ADG that is an attachment to MSC's motion to dismiss. MSC also ignores the second contract, which ADG will discuss below, further to which ADG and MSC agreed to rates for the WRO 202 containers *after* September 24, 2022.

MSC also admits that it did not send any invoices to ADG, and then assumes, without support, that that absence of invoices is somehow legally superior to faulty or deficient invoices. MSC's position that a carrier can escape liability for breaching

its obligations to provide accurate and complete invoices under Section 41104(d) by simply not providing *any* invoices is a novel legal theory that, unsurprisingly, lacks any legal authority. Further, MSC's position ignores the possibility that the MSC/ADG Settlement Agreement, which required certain payments by certain dates, could constitute MSC's invoice.

MSC's failure to provide the required information also had financial repercussions, as ADG's complaint alleges. MSC's repeated failures to provide ADG with critical information required by 19 C.F.R. § 12.44(a) to dispose of the Gloves resulted in significant delays and additional costs.

For example, the complaint alleges that MSC failed to provide ADG with information that would have allowed ADG to evaluate the FTN charges, including up-to-date locations of the 202 WRO containers. Compl. at 5, ¶ 21. MSC also failed to provide a full list of charges that MSC was claiming against ADG (¶ 24), the then-current itinerary for the transport of the containers, and vessel cutoff dates (¶¶ 29–31). ADG has alleged that those failures to provide information caused ADG damages (¶ 31).

Based upon the complaint's allegations as to MSC's failure to provide the information required under the governing regulations, MSC's admission that it failed to invoice ADG, and the allegations as to the damages that resulted from the lack of information to ADG, MSC's effort to escape liability at this stage in the proceedings is inappropriate and not supported by any legal authority.

4. Section 41104(f) Provides a Potential Form of Relief

MSC argues that the Commission should dismiss ADG's claim under Section 41104(f) because that section does not "require or prohibit any conduct." MSC is correct that Section 41104(f) does not give rise to a separate claim. But MSC misses that Section 41104(f) provides a specific form of relief – the negation of any invoices that fail to include the required information under subsection (d). ADG therefore properly included reference to that section based on the type of relief that is available to ADG due to MSC's admitted failures to properly invoice ADG for the transportation services provided.

5. FTN's Eventual Pass-Through of MSC Invoices in May 2024 Moots MSC's Arguments Concerning Section 41104(a)(14) and 46 C.F.R. Sections 545.4 and 545.5

MSC argues there is no predicate violation of § 41104(a)(14) or Part 545, Code of Federal Regulations because ADG never received any invoices, only an Excel spreadsheet, demanding payment of charges. However, as discussed above, FTN's pass-through of MSC's invoices in May 2024 and ADG's disputing of those invoices in June 2024 render MSC's argument moot.

B. MSC FAILS TO SET FORTH GROUNDS FOR STAYING THE ACTION

MSC argues that the Commission should stay this action because other federal litigation is currently pending between the parties relating to the cargo at issue in this case. MSC does not specify which cases cover the same issues between the same parties, but for the reasons stated above and in ADG's opposition to FTN's motion, the Commission is far more familiar with and has primary jurisdiction over ADG's Shipping Act claims. It is the district court cases that should be stayed pending the Commission's determination—indeed, ADG already asked the district court in April 2024 (well before MSC's request here) to stay the district-court proceedings under the primary-jurisdiction doctrine. *See Reiter v. Cooper*, 507 U.S. 258, 268-269 (1993). Without the Commission's determination in this case, the parties in the federal litigation cannot know if the charges and the amounts assessed by MSC are legitimate. Accordingly, the Commission must decide if there were violations of the Shipping Act *before* the federal litigation can continue.

III.

CONCLUSION

For the above reasons, ADG's complaint sufficiently alleges valid claims of violations of the Shipping Act and is wholly within the Commission's jurisdiction. Accordingly, ADG respectfully requests the Commission to deny MSC's motion to dismiss and stay. While the facts in the complaint are sufficient, if the ALJ finds that

ADG's complaint requires clarification, then the ALJ may direct ADG to state its case more fully and in more detail by way of amendment. *See* 46 CFR § 502.66(a). ADG is prepared to amend its complaint to address ADG's Second Contract with MSC concerning the Disposal-Related Charges and the disputed MSC invoices that FTN attached to an email to ADG on May 24, 2024, and disputed by ADG on June 19, 2024.

Dated: July 12, 2024

Respectfully submitted,

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CERTIFICATE OF SERVICE

I certify that on the 12th day of July 2024, I served the above **AIRBOSS DEFENSE GROUP, LLC'S RESPONSE IN OPPOSITION TO MEDITERRANEAN SHIPPING COMPANY S.A. and MEDITERRANEAN SHIPPING COMPANY (USA) INC.'S MOTION TO DISMISS OR STAY PROCEEDING** on the parties listed below by email.

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Dated: July 12, 2024



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